OFFERING MEMORANDUM

Dunmore Pelican Data Campus | Naperville, IL

Property	Dunmore Pelican Data Campus
Location	8740 Medical Center Drive, Naperville, IL 92877
Property Type	Data Center
Size	189,984 SF
Year Built	1990
Offering	Unpriced - Offers Due July 11, 2019

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. The facility is a purpose-built data center with 42 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers. Projected levered IRR is 4.0% with an equity multiple of 1.47x over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 9.9% with an equity multiple of 1.18x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Supply and Demand

Market vacancy for comparable Data Center product stands at 6.9%, down from 3.7% two years ago. The Naperville Data Center market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Data Center assets in Naperville remains strong with recent trades at capitalization rates between 6.29% and 6.29%. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Market vacancy for comparable Data Center product stands at 13.8%, down from 7.7% two years ago. The Naperville Data Center market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 48 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Rent growth in the submarket has averaged 7.2% annually over the past 11 years. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Risk Considerations

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. Projected levered IRR is 5.2% with an equity multiple of 1.12x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

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Disclaimer and Confidentiality

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of IL. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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